

Acme Materials Corporation

ACME · NYSE · 2026-01-15

Rating	Twelve-month target	Reference price	Expected total return
HOLD	\$108.50	\$100.00	+10.7%

Conviction moderate. The call sits within five points of a band edge. Carried by the industry work.

Produced by a fan-out of specialist agents: four analysts gathering evidence independently, a valuation agent building a base case, a bull and a bear attacking it on the same model, a judge ruling on the evidence rather than on the argument, and a portfolio risk gate. The rating scale is three-tier and the bands are on the probability-weighted twelve-month total return.

Analyst: Example Analyst · Prepared 2026-01-15

Acme Materials Corporation — HOLD, \$108.50 target

Acme Materials Corporation is invented and every figure in this report is a fixture. The report exists to show what the export scripts produce.

01 Company overview

Acme Materials Corporation makes industrial coatings and specialty adhesives for manufacturers, and sells almost entirely business to business in North America. Fiscal 2025 revenue was \$8,400m, up 5.3%, with industrial coatings at \$5,510m and specialty adhesives at \$2,890m. Coatings is 65.6% of revenue and the lower-margin half; adhesives carries the formulation work and the longer contracts.

The company runs eleven plants, employs about 13,700 people and has raised its dividend in each of the past nine years. Fiscal years end December 31. Revenue per employee was \$612k in FY2025, between Northbridge Chemical at \$548k and Calder Specialty at \$703k.

Revenue grew at a 5.5% compound rate over the ten years to FY2025, with a single down year in FY2020. Operating margin widened from 16.1% to 19.3% over the same span, and gross margin did 1.8 points of that while SG&A held flat as a share of revenue.

02 Investment thesis and variant perception

The market treats Acme as a cyclical coatings supplier trading slightly above its own history at 19.7x forward earnings against a ten-year median of 18.2x. On that reading the stock is fully priced.

Two facts sit against it. Capital deployed in FY2025 earned a 20.5% incremental return against a 15.1% ten-year average, so new money is earning more than the existing base, which is the reverse of the normal pattern in a maturing chemicals book. And free cash flow conversion has averaged 108% of net income for a decade without falling below 92%, so the reported margin expansion is cash rather than accrual.

The variant perception is narrow and it is on the risk rather than the quality. Three coatings customers are 21% of segment revenue, up from 17% two years ago, and two of them have said publicly they are evaluating insourcing. The market is pricing about 45bp less terminal growth than this valuation assumes, which is not enough to be pricing that risk. Whether it should be is the question this call turns on, and the answer arrives with the Q1 print on 2026-04-23.

The conclusion is a hold rather than a disagreement. The business is better than the multiple implies by roughly \$8 a share, and the concentration risk is worth roughly \$36 a share at a 25% probability. Those cancel inside the band.

03 Industry and competitive positioning

Acme is third in North American industrial coatings and second in specialty adhesives. Four suppliers hold 71% of the coatings market.

Force	Strength	Evidence
Rivalry	High in coatings, moderate in adhesives	Coatings priced on annual contracts among four suppliers holding 71% share; adhesives contracts run three to five years with six to nine months of requalification
Buyer power	High	Three coatings customers at 21% of segment revenue, negotiating annually, two evaluating insourcing
Supplier power	Moderate	Two resin inputs are 34% of cost of goods sold, each with three or more suppliers
New entrants	Low	A coatings line costs about \$180m and takes two years to permit
Substitutes	Low in adhesives, moderate in coatings	Mechanical fastening substitutes for adhesives at a weight penalty; powder coatings substitute for liquid in some applications

Company	Operating margin	ROIC	Revenue per employee
Acme Materials	19.3%	16.4%	\$612k

Northbridge Chemical	16.1%	12.8%	\$548k
Calder Specialty	21.4%	18.2%	\$703k
Ferro-Lane Industries	12.7%	9.4%	\$471k

Volatile organic compound rules tighten in three states in 2027 and favour the water-based formulations Acme already sells, worth about 1% of coatings revenue at a better margin.

04 Financial analysis

Ten fiscal years are in the workbook accompanying this report. Revenue compounded at 5.5%, operating income at 7.6%, and diluted earnings per share at 10.6% with share count down 13.5% over the decade.

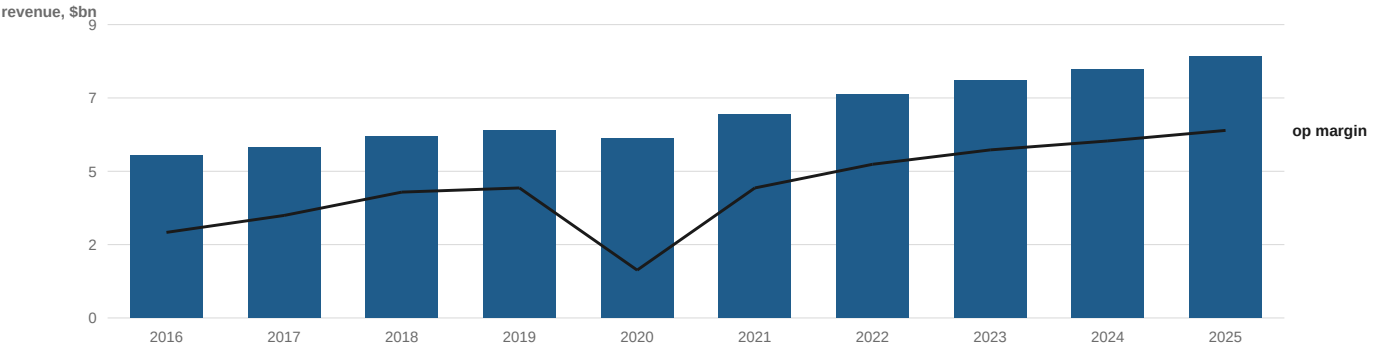
Item	FY2021	FY2023	FY2025
Revenue (USD m)	6,540	7,620	8,400
Operating margin	17.5%	18.7%	19.3%
Net income (USD m)	808	1,027	1,183
Diluted EPS (USD)	3.06	4.01	4.73
Free cash flow (USD m)	870	1,120	1,340
Return on invested capital	15.4%	16.0%	16.4%
Net debt to EBITDA	1.37x	1.08x	0.91x

Depreciation has tracked capital expenditure within 15% every year, so the margin gain is not deferred maintenance. Share-based compensation of \$58m is charged in these figures. Development spending on new adhesive formulations is expensed as incurred, which understates margin against peers who capitalise.

Net debt of \$1,800m is 0.91x EBITDA against 1.86x in FY2016, with no maturity wall: \$340m due FY2027, \$520m FY2029, the balance after FY2031.

Exhibit 1 — Revenue and operating margin, ten fiscal years

Company filings; author's analysis.



05 Valuation

Discounted free cash flow to the firm as primary, comparables as secondary. Ten explicit years, mid-year discounting, no stub because FY2025 closed on 2025-12-31. Terminal value by perpetuity growth at 2.5% with reinvestment at 17.9%, which is 2.5% over a 14.0% terminal return on new capital.

WACC of 8.50%: cost of equity 9.30% from a 4.20% ten-year Treasury, a 5.0% equity risk premium and a beta of 1.02, with after-tax cost of debt at 3.6% on 24% of capital.

Item	Value
PV of forecast cash flow	\$12,092m
PV of terminal value	\$15,980m

Terminal value share of enterprise value	56.9%
Enterprise value	\$28,072m
Less net debt	\$1,800m
Equity value	\$26,272m
Value per share	\$105.09

The discounted cash flow range is \$94.70 to \$118.16 across a 100bp WACC band. Comparables give \$98 to \$126 on a 17.2x to 22.4x forward earnings range against FY2027E earnings per share of \$5.45.

Reversing the model, the \$100.00 price implies 2.05% terminal growth against 2.50% assumed here, or a WACC of 8.84% against 8.50%.

Exhibit 2 — Valuation ranges against the current price

Author's valuation; street targets and fifty-two-week range from market data.



Exhibit 3 — Sensitivity of the twelve-month target

Author's model.

Exit multiple	5.15	5.45	5.75
17.0	88	93	98
18.5	95	101	106
20.5	106	112	118
21.5	111	117	124
23.0	118	125	132

06 Risks

Risk	Impact	Probability	Trigger to watch	Mitigation
Two coatings customers insource	–\$36 a share; 7.1% of revenue at segment margin	25%	An 8-K disclosing a capital commitment, or Q1 coatings volume down year on year	Adhesives contracts run three to five years and are unaffected
Coatings margin de-levers on flat volume	–\$8 a share at 18.4% margin by FY2028	30%	Gross margin below 38.5% for two consecutive quarters	Water-based mix adds margin from 2027
Resin cost spike	–\$5 a share at 10% input inflation unrecovered	20%	Quarterly gross margin against published resin indices	Annual contracts reprice, with two quarters of lag
Dalton ramp slips again	–\$4 a share, and the bull case needs it	25%	The Q2 print on 2026-07-29	The plant is built and the capital is sunk
Kearney environmental claim exceeds accrual	–\$2 a share above the \$34m accrued	15%	Any change to the accrual in a 10-Q	Four quarters unchanged, management guiding to no incremental liability

07 Catalysts and ESG

Date	Event	What it settles
2026-02-18	FY2025 10-K and Q4 results	First FY2026 guidance including the Dalton ramp
2026-04-23	Q1 fiscal 2026 results	Whether coatings volume held; the flipping assumption
2026-05-14	Annual meeting	Vote on the amended incentive plan
2026-07-29	Q2 fiscal 2026 results	Dalton at full utilisation on the current plan
2026-10-28	Q3 fiscal 2026 results	Resets FY2027 consensus

Emissions intensity is tracking ahead of the 2030 goal set in 2022. Two board seats turned over in 2025. Nothing in the environmental, social or governance record changes the valuation.

08 Bull, base, bear and recommendation

The bull case takes operating margin to 21.0% by FY2029 on the ten-year trend and gets \$138 at 24.0x FY2027E earnings per share of \$5.75. The bear case has two coatings customers insourcing over two years, cutting FY2028 revenue by about \$1,000m, and gets \$72 at 14.0x on \$5.15.

HOLD, target \$108.50, expected total return of +10.7% including \$2.20 of dividends. The call is 4.3 points inside the band edge and one input moves it: the bear probability. At 15% bear with 35% base the target is \$117.15 and the expected return is +19.4%, which is a BUY. A multi-year renewal from either named customer is the event that would justify that change.

Price	Action
Above \$112	No purchase
\$100 to \$112	Hold
\$92 to \$100	Open a position if the April print shows coatings volume flat or better
Below \$92	Buy without waiting

Funded from a Canadian dollar balance, the round trip costs about 3.8% in conversion, which leaves +6.9% net of the +10.7% expected return.

Exhibit 4 — Scenarios and the probability-weighted target

Author's model; probabilities defended in the text.

Scenario	Probability	Target	Return	Key assumption
Bull	25%	138.00	+38.0%	Adhesives price increases hold and the Dalton plant reaches full utilisation in FY2027
Base	50%	112.00	+12.0%	Volume grows with industrial production, margin flat
Bear	25%	72.00	-28.0%	Two of the three largest coatings customers insource, taking 9% of segment revenue
Probability-weighted	100%	108.50	+10.7%	Total return includes dividends

09 Appendices

Sources are numbered in the accompanying workbook. The valuation, the ten-year statements and every exhibit in this report come from the same two files, so a disputed figure can be checked without rebuilding the analysis.

Disclosures

Rating scale

Rating	Band on the probability-weighted twelve-month total return
BUY	Above +15%
HOLD	–15% to +15%
SELL	Below –15%

Three ratings only. There is no fourth tier and no paired label. Where a call is marginal, the report states how marginal it is and names the single assumption that would move it to the neighbouring band.

Analyst certification

I, Example Analyst, certify that the views expressed in this report accurately reflect my personal views about the subject security and issuer, and that no part of my compensation was, is, or will be directly or indirectly related to the specific recommendation or views expressed here.

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